

Notice Regarding Filed Complaint with the California Attorney General's Housing Justice Team

To: City of Chico

Attn: City Manager, Mayor and City Council, Community Development Department, and Housing Division

From: Scotty Franzysen, Chico, California

Re: Filed Complaint Regarding Housing Policy, Homelessness Spending, Housing Element Implementation, and Barriers to Alternative Solutions

Dear City of Chico Officials,

I am writing to formally notify the City that I have **filed a complaint with the California Attorney General's Housing Justice Team** regarding the City's housing policies, implementation of its Housing Element, use of homelessness-related public resources, concentration of support among a small number of established service providers, and barriers to alternative community-based solutions.

I have also asked that the matter be reviewed in coordination with the **California Department of Housing and Community Development** where appropriate.

My concern is not simply that Chico has a homelessness problem.

My concern is that, over a period of years, **substantial public resources have been devoted to managing homelessness while comparatively little measurable progress appears to have been made toward creating deeply affordable permanent housing for the people who need it most.**

The complaint asks the State to independently review whether Chico's policies, expenditures, Housing Element implementation, provider-selection practices, and program outcomes are producing meaningful long-term solutions.

Managing Homelessness Versus Ending Homelessness

The City has devoted significant resources toward:

- emergency shelter;
- temporary shelter facilities;
- encampment removal;
- fencing of public spaces;
- cleanup operations;
- enforcement;
- temporary services;
- administration; and
- other activities associated with managing homelessness.

Many of these activities may serve legitimate immediate purposes.

However, they do not substitute for permanent housing.

The result appears to be a revolving-door system in which people experiencing homelessness are repeatedly contacted, assessed, moved, sheltered, referred, enrolled, and served while the permanent housing necessary to leave homelessness remains unavailable.

Temporary shelter is an emergency response. It is not a permanent housing strategy.

Housing Element Implementation

A central issue raised in my complaint is whether Chico is actually implementing the programs, deadlines, zoning actions, incentives, affordable-housing strategies, and other commitments contained in its adopted Housing Element.

I believe residents deserve clear answers to basic questions:

- What did the City commit to doing?
- Which commitments have actually been completed?
- Which remain incomplete?
- How many affordable units have actually been permitted?
- How many have actually been constructed?
- How many serve extremely low-income and very low-income households?
- How does that production compare with the City's identified housing need and RHNA allocation?

Planning for housing and producing housing are not the same thing.

Public Spending and Measurable Outcomes

The complaint also asks the State to examine how Chico's homelessness and housing resources have been allocated and what measurable outcomes those expenditures have produced.

Residents should be able to determine how much public money has been directed toward permanent housing solutions compared with homelessness management and temporary responses.

Permanent housing solutions

- affordable-housing construction;
- acquisition;
- rehabilitation;
- supportive housing;
- deeply affordable housing;
- permanent housing assistance; and

- permanent exits from homelessness.

Homelessness management and temporary responses

- emergency shelters;
- temporary facilities;
- encampment cleanup;
- fencing;
- enforcement;
- outreach;
- administration;
- service contracts; and
- other recurring operating expenses.

There is an important difference between reporting how many people were **served** and reporting how many people actually became **permanently housed**.

I believe permanent housing outcomes should be one of the primary measurements of whether these programs are succeeding.

The City's Own Homelessness Strategic Plan

Another issue raised in my complaint involves the City's own homelessness strategic-planning process.

In 2021, the City authorized approximately **\$50,000** for an outside homelessness strategic-planning effort.

That work identified deficiencies in Chico's existing approach and made recommendations concerning:

- accountability;
- coordination;
- data collection;
- tracking homelessness-related expenditures;
- measuring outcomes;
- evaluating programs; and
- determining whether publicly supported programs were actually producing meaningful results.

I am concerned that many of these recommendations were not meaningfully implemented before the City proceeded with major additional investments in emergency shelter infrastructure.

The public deserves to know:

- Which recommendations were adopted?

- Which recommendations were implemented?
- Which recommendations were rejected?
- Which remain unfinished?
- Did the City establish the recommended system for tracking homelessness-related expenditures?
- Are service providers required to report meaningful housing and self-sufficiency outcomes?
- Did the City evaluate whether the existing system was working before substantially expanding it?

After commissioning this strategic work, the City subsequently declared a shelter crisis and invested heavily in the Genesis Pallet Shelter and related alternative sheltering operations.

City records later placed Pallet Shelter and alternative-site capital and operating costs at approximately **\$12.99 million through July 31, 2024.**

If the City paid for an outside analysis to identify weaknesses and recommend greater accountability, the public deserves to know why those recommendations were not fully implemented before millions more were committed to the existing emergency-service model.

Availability of Capital for Other Development

Another concern raised in my complaint is the repeated assertion that affordable housing is difficult to build because sufficient financing is unavailable or projects are not economically feasible.

During the same general period, substantial private and public capital has been available for other forms of development in Chico.

- hotel development;
- short-term lodging;
- homelessness-service facilities;
- emergency shelter infrastructure;
- behavioral-health facilities; and
- expansion of existing service-provider campuses.

Substantial financing was assembled for expansion of the Jesus Center and development of the Renewal Center campus.

My concern is not that these facilities should never have been financed. My concern is the imbalance.

If millions of dollars in loans, tax-credit financing, grants, private investment, and public support can be assembled to shelter, treat, manage, and provide services to people experiencing homelessness, why has comparable investment been so difficult to assemble for the permanent deeply affordable housing necessary to end homelessness?

The issue is not whether organizations providing legitimate services should be compensated. The issue is whether our financing and public-policy structure has created stronger incentives for the continuing

management of homelessness than for creating permanent exits from homelessness.

Concentration of Resources Among a Small Number of Providers

I have also asked the State to examine the concentration of City funding, contracts, facilities, access, referrals, and permissions among a relatively small group of established homelessness-service providers.

My concern is not that these organizations should receive no public support. My concern is whether other nonprofit, community, faith-based, volunteer, or privately funded organizations are being provided a fair opportunity to participate and pursue different solutions.

The City should be able to clearly explain:

- how providers are selected;
- whether opportunities are openly competitive;
- how much funding each organization receives;
- what outcomes each organization produces;
- what criteria are used to approve or reject programs;
- whether those criteria are publicly available; and
- whether those criteria are consistently applied.

Alternative Campsites and Community-Based Solutions

The treatment of sanctioned or alternative campsites is one example that particularly concerns me.

The City has permitted or operated designated camping or alternative sheltering arrangements under certain circumstances. Yet other community organizations seeking to establish privately funded alternatives may face barriers that effectively prevent them from doing so.

If the City can permit one organization or City-sponsored program to operate a campsite or alternative sheltering arrangement, why cannot another responsible organization do the same if it is willing to meet legitimate health, safety, sanitation, zoning, insurance, and operational standards?

If there are legitimate reasons for treating different proposals differently, those reasons should be written, transparent, and consistently applied.

The City should not create a system where only established organizations with existing City relationships are able to obtain the resources or approvals necessary to operate.

Employment and Economic Opportunity

I am also concerned that the City's homelessness response focuses heavily on services while comparatively little attention appears to be directed toward employment and meaningful economic opportunity for marginalized residents.

Housing and employment are closely related.

Where public programs include objectives involving employment, job training, economic participation, or pathways toward self-sufficiency, residents should be able to see measurable outcomes.

A successful homelessness strategy should create realistic pathways toward:

- permanent housing;
- employment;
- income;
- greater independence; and
- long-term stability.

Why I Filed the Complaint

I did not file this complaint because I expect the California Attorney General to solve Chico's homelessness problem.

I filed it because I believe an independent review is warranted to determine whether Chico is:

- implementing its Housing Element commitments;
- complying with applicable state housing requirements;
- removing barriers to affordable housing;
- appropriately tracking homelessness-related expenditures;
- measuring permanent housing outcomes;
- distributing public resources fairly and transparently;
- providing equal opportunities for alternative providers; and
- creating policies that prioritize permanent housing rather than indefinitely managing homelessness.

This is fundamentally a question of **accountability, priorities, transparency, and outcomes.**

Chico residents deserve to know:

What was promised?

What was funded?

Who received the money?

What was actually built?

How many people achieved permanent housing?

Which recommendations from the City's own studies were implemented?

What remains unfinished?

And why are some alternative solutions prevented from being attempted?

Opportunity for the City to Respond

Although the complaint has already been filed, I welcome the City providing records or information that addresses these concerns.

If documentation demonstrates that any part of my understanding is incomplete or incorrect, I want to see that information.

Likewise, if there are affordable-housing accomplishments, provider-selection procedures, spending records, permanent housing outcomes, Housing Element implementation actions, or other relevant information that has not been clearly communicated to the public, I encourage the City to make those records readily available.

My purpose is not simply to criticize Chico.

My goal is to see the City move toward a system that places greater emphasis on:

- **permanent housing;**
- **measurable outcomes;**
- **financial transparency;**
- **accountability;**
- **innovation;**
- **employment opportunity; and**
- **equal opportunity for organizations willing to contribute solutions.**

I hope the City will respond to these concerns with documentation and meaningful public discussion.

Thank you for your attention.

Sincerely,

Scotty Franzyshe

Chico, California